

We also saw the same that in the balance sheet that the capital intensity is relatively low. We can see that Depreciation and Ammortisation as a percentage of revenue is quite low.

2. Check for sudden increases in Depreciation and Amortisation w.r.t. revenues.

This shows inefficient utilization of resources or shows major CAPEX. If the company has done major CAPEX, the share of depreciation should increase. Whenever the company undertakes a large capital investment assets increase but revenue takes time to ramp up. As a result, depreciation as a percentage of sales goes up. We can see that for this company too when they invested in assets in the last year of our analysis.

We can expect that in the next year, Depreciation and Amortisation should increase against sales if revenue does not catch up.



3. What is contributing to Depreciation Productive v/s Unproductive Assets?

Productive assets directly contribute to the production or manufacturing of the company, whereas non-productive assets are supporting assets. We observe that most of the depreciation comes from plants and machinery, which are productive assets. This is a good sign, as a large chunk of unproductive assets contributing a lot on the expense side is quite unwanted.

Combining this with our earlier understanding, we can develop a good understanding of Depreciation. We can continue this with our understanding of assets to have a holistic understanding.

